



HILL WALLACK LLP

ATTORNEYS AT LAW

202 CARNEGIE CENTER, P.O. BOX 5226, PRINCETON, NJ 08543-5226
TELEPHONE: (609) 924-0808, FAX: (609) 452-1888
WWW.HILLWALLACK.COM

Writer's Direct Dial: (609) 734-6320

J. Sands T. Nevel
A. Clark J. Powers
V. Porcari
R. Porcari



April 14, 2011

Jim Sands
PARSONS CORPORATION
3100 Princeton Pike
Second Floor, Building 2
Lawrenceville, NJ 08648

Re: Settlement Agreement re: NJ State Contract No. A71414
Amendment 2

Dear Jim:

Enclosed please find an original Amendment 2 for the above-referenced Contract. The Amendment has been signed by each signatory on separate pages and together represents the fully executed Contract. You should keep this document in a safe place with all your other important documents. We will retain a copy for our records.

Best regards,

MAEVE E. CANNON

MEC/fm
Encls.

500-90663 (9.1)
April 15, 2011



Rec'd
4/11/11 Jm

CHRIS CHRISTIE
Governor

State of New Jersey
OFFICE OF THE ATTORNEY GENERAL
DEPARTMENT OF LAW AND PUBLIC SAFETY
DIVISION OF LAW
25 MARKET STREET
PO Box 112
TRENTON, NJ 08625-0112

KIM GUADAGNO
Lt. Governor

PAULA T. DOW
Attorney General

ROBERT M. HANNA
Director

April 5, 2011

Maeve Cannon, Esq.
Hill Wallack, LLP
202 Carnegie Center
PO Box 5226
Princeton, NJ 08543

Re: New Jersey State Contract No. A71414
Amendment 2

Dear Ms. Cannon:

Enclosed please find the executed original Amendment 2 for the Parson's Contract. The second original will be maintained by the Division of Purchase and Property.

Thank you again for your assistance in bringing this matter to a resolution.

Very truly yours,

PAULA T. DOW
ATTORNEY GENERAL OF NEW JERSEY

By: Beth Leigh Mitchell
Beth Leigh Mitchell
Assistant Attorney General

c: Jignasa Desai-McCleary
Kevin Moore
Gregory Feldman
Chris Salmi



New Jersey State Contract No. A71414

Amendment 2

This Amendment No. 2 to State Contract No. A71414 for an enhanced motor vehicle inspection and maintenance system is made this 2nd date of March 2011, by and between the State of New Jersey, Department of the Treasury, Division of Purchase and Property ("Division"), whose address is 33 West State Street, 9th Floor, P.O. Box 039, Trenton, New Jersey, 08625, on behalf of the New Jersey Motor Vehicle Commission and the Department of Environmental Protection (collectively referred to as the "State") and Parsons Commercial Technology Group, Inc. ("Parsons"), whose address is 3100 Princeton Pike, Building 2, Lawrence, New Jersey 08648 (collectively referred to as the "Parties").

WHEREAS, in order to comply with the Federal Clean Air Act, as amended in 1990 (42 U.S.C. §7401, et seq.) and the New Jersey Federal Clean Air Mandate Compliance Act, (N.J.S.A. 39:8-41, et seq.), and in order to continue performance of safety inspections, as previously required by N.J.S.A. 39:8-1 et seq., the State sought to engage a contractor to provide an enhanced motor vehicle inspection and maintenance system; and

WHEREAS, the State issued Request for Proposals No. 08-X-39078 for an Enhanced Motor Vehicle Inspection/Maintenance System, ("RFP") on June 5, 2007, which sought a vendor to provide new inspection equipment and systems, maintenance of systems and equipment, as well as operation of the State's Central Inspection Facilities ("CIFs" or "facilities"); and

WHEREAS, Contract A71414, inclusive of RFP No. 08-X-39078, and the addenda thereto, together with the proposal submitted by Parsons (collectively, the "Contract"), was entered into by Parsons and the State effective May 6, 2008 and has a five-year term with provision for three amendments to add one year to the term each; and

WHEREAS, the Parties entered Amendment No. 1, dated June 25, 2009, which changed the Contract in several respects, specifically, lowering the per vehicle inspection price to \$21.60, changing the formula whereby liquidated damages associated with excessive wait times and wait time measurement failures were calculated, which changes were effective January 1, 2010, changing the hours of operation of the CIFs, changing several minor miscellaneous elements of the Contract, and waiving all other pending claims, notices of claim, appeals and requests for change orders submitted by Parsons to the State on or before June 25, 2009; and

WHEREAS, delivery of the new inspection equipment and systems under the Contract was to be within eighteen months of the Contract effective date which would have meant delivery on or before November 6, 2009; and

WHEREAS, the State took certain actions in the fall of 2009, due to its concern that the new inspections equipment and systems would be delivered later than November 2009, that the State believed would ensure delivery of the new inspection equipment and systems in as soon as possible, including but not limited to defining software test criteria and deferring certain less critical software elements for deferred delivery but Parsons did not view the State's actions as

ensuring delivery of the new inspection equipment and systems in as timely a manner as possible, such that Parsons filed a delay claim against the State on October 19, 2009, asserting the State's actions were responsible for the delay in the delivery of the new inspection equipment; and

WHEREAS, beginning in fall 2009 and continuing thereafter, Parsons has repeatedly asserted a *force majeure* defense to the State's assessment of the liquidated damages but the defense was not accepted by the State and Parsons wrote to the Acting Director of the Division "appealing" the issue, who did not accept the defense or change any liquidated damage assessment; and

WHEREAS, in late 2009, Parsons began constructing "re-inspection shelters" at various CIFs (specifically at Bakers Basin, Cherry Hill, Delanco, Deptford, Flemington, Lakewood, Mays Landing, Newark, Newton, Paramus, Rahway, Randolph, South Brunswick, Southhampton, Wayne, and Winslow) which Parsons asserts were necessary to allow it to meet the wait time limits in Amendment 1 and which it contends were part of its proposal incorporated into the Contract, but which the State does not agree are necessary to allow Parsons to meet the wait time limits in Amendment 1, and which the State does not agree was included in the proposal, and which the State did not approve prior to construction, and the State Contract Manager issued a cease and desist order regarding their construction on January 5, 2010, via email and by letter on February 2, 2010, and Parsons sought to pay for the costs of the construction of the "re-inspection shelters" from the Capital Maintenance Fund under the Contract which the State did not approve; and

WHEREAS, the majority of new inspection equipment and systems for the CIFs were delivered by March 2010, and for the Private Inspection Facilities ("PIFs") by April 2010; deferred software items have been delivered as of March 29, 2011, and new equipment for diesel emissions inspections had not been delivered as of November 2010 but the State removed new diesel equipment from the contract; and

WHEREAS, under the formula in Amendment 1, the State assessed liquidated damages against Parsons for excessive wait times pursuant to Section 5.13.2.2, as follows:

Period	Amount	Assessment Date	Parsons' Notice of Claim Date	Parsons' Appeal Date or , if any
January 2010	\$135,000.00	3/9/2010	3/29/2010	4/9/2010
February 2010	\$230,000.00	3/16/2010	5/14/2010	5/17/2010
March 2010	\$890,000.00	4/14/2010	5/14/2010	5/17/2010
April 2010	\$352,500.00	5/4/2010		
May 2010	\$330,000.00	6/3/2010	8/20/2010	8/20/10
June 2010	\$345,000.00	7/7/2010	8/20/2010	8/20/10
July 2010	\$122,000.00	8/4/2010	11/4/2010	12/10/10

and Parsons' Notices of Claim as noted above asserted a number of defenses including, but not limited to *force majeure* as noted above; and

WHEREAS, in March 2010 the State filed a complaint with CCAU as to the time of delivery of all of the inspection equipment and systems and Parsons' construction of the "re-inspection

shelters" ("CCAU Complaint"); Parsons opposed the CCAU Complaint and the State replied to Parsons' opposition and in February 2011 supplemented the complaint on February 14, 2011, to which Parsons has not yet responded and the adjudication of the complaint and Parsons' defenses thereto was placed on hold by the mutual agreement of the parties; and

WHEREAS, a misinterpretation by Parsons of line 14 of the price sheet format had caused Parsons to place only a portion of the cost of the equipment needed for inspection lanes that used the OBD testing method and the State agreed in principle to pay the costs of all of the equipment that was necessary to fully equip such a lane; and

WHEREAS, in spring 2010, due to local traffic and safety issues in the morning before certain Central Inspection Facilities in Eatontown, Flemington, Lodi and Wayne, the State and Parsons had agreed to open wait gates early, which allowed motor vehicle drivers to take wait tickets before the CIF was opened and thereby triggered liquidated damages for excessive wait times pursuant to section 5.13.2.2 of the Contract, which the State has agreed in principle should not be assessed against Parsons but no action on that agreement had been taken, with the liquidated damages in question totaling \$109,500.00, and breaking down as follows:

	<u>May 2010*</u>	<u>June 2010*</u>	<u>July 2010*</u>	
Eatontown	\$12,500.00	\$32,000.00	\$20,000.00	
Flemington	\$20,000.00	\$ 7,500.00	\$10,000.00	
Wayne	\$ 7,500.00	\$ 0.00	\$ 0.00	
Lodi	\$ 0.00	\$ 0.00	\$ 0.00	
Subtotal	\$40,000.00	\$39,500.00	\$30,000.00	Total \$109,500.00,

* The liquidated damages for May, June, and July 2010 are a subset of the total liquidated damages assessed for May 2010 (\$330,000), June 2010 (\$345,000), and July (\$122,000) as noted above.

and Parsons filed a Notices of Claim as to this issue on August 20, 2010 and; and

WHEREAS, as the Bakers Basin CIF was also used as a testing facility for the new equipment and systems, such that the Parties have agreed that pursuant to section 3.3.5 of the Contract, liquidated damages should not have been assessed at that CIF during the testing period and those liquidated damages total \$24,000.00, but no action on that agreement had been taken; and

WHEREAS, in a letter dated January 12, 2010, Parsons requested a change order to the Contract to be paid \$98,484.71 for what Parsons characterized as additional costs for snow removal at the Flemington CIF due to the construction of a new MVC agency on the property owned by the State, which the State had not agreed to pay; and

WHEREAS, in a May 19, 2010 letter, there is an office trailer leased for the use at the Randolph CIF which is presently paid for from the Capital Maintenance Fund established pursuant to Section 3.3.13, and Parsons requested that the State replace the office trailer but the State has not agreed that the replacement is needed; and

WHEREAS, in June 2010, with the enactment of P.L. 2010, c.29, on June 30, 2010 ("Change in Law"), the State motor vehicle inspection law was changed, effective August 1, 2010, to

eliminate passenger vehicle safety inspections and to extend the inspection exemption for "new cars" from four to five years; and

WHEREAS, the Change in Law required a one-time cost to change the newly developed inspections software at a cost of \$124,998.75, which the State agreed in principle to pay, but no action has been taken on that agreement; and

WHEREAS, Section 5.17 of the Contract requires that in the event of a change in law, Parsons is to notify the State Contract Manager of the estimated increase or decrease in the fee, and the parties were to negotiate an equitable adjustment, if any; and

WHEREAS, for performing the motor vehicle inspections at the Centralized Inspection Facilities (CIFs), Parsons is paid monthly based on a formula of its rate multiplied by the number of inspections actually performed less liquidated damages, if any, and on the RFP price sheet Parsons allocated \$3.24 of its total per car inspection fee of \$21.95 (reduced by Amendment 1 to \$21.60) to the safety portion of the motor vehicle inspections performed by Parsons; and

WHEREAS, while the Contract did not in any way guarantee the volume of inspections, both Parties agree that the effect of the Change in Law was to reduce the volume of cars presented for inspection for the remaining term of the contract; and

WHEREAS, the Parties negotiated in an attempt to agree on an equitable adjustment, beginning in May 2010, but were not able to reach agreement such that on November 12, 2010, the State notified Parsons that the State did not agree that an equitable adjustment was necessary and none would be made and on December 10, 2010, Parsons filed a Notice of Claim with regard to this issue; and

WHEREAS, as part of its monthly invoices related to operating the CIFs, beginning with the August 2010 invoice to the February 2011, Parsons has billed the State the contract price as established in Amendment 1 of \$21.60 and an additional \$2.95 for the "equitable adjustment" per vehicle inspection performed, and the State has paid the invoices but only at the rate of \$21.60 per vehicle inspection and notifying Parsons in a January 31, 2011 letter that such equitable adjustment would not be paid; and

WHEREAS, due to the projected April 2011 delivery of the new inspection equipment needed for diesel inspections, which projected date depended on the State approving pre-payment for the equipment by the users of that equipment, which the State would not approve due to the adverse economic impact to the users, many of which are PIFs, such that the delivery was more likely to be in June or July 2011, the State determined that the late delivery would undermine the economics of the contract, by requiring purchase of equipment that may not have any usefulness at the end of the term of this contract, that portion of the scope of work was being terminated, and Parsons has asserted that it has proposed a compliant solution to this requirement but the State specifically requested a prototype model from Parsons' subcontractor after award that was different from the model proposed by Parsons in its proposal, and which received only conditional approval, which was then revoked and replaced by a determination that approval could not be given, by the Department of Environmental Protection; and

WHEREAS, as a result of all of the delays in delivery of the new inspection systems and equipment, the State has incurred one-time costs of \$995,942.87, which includes \$592,081.40 for a one-year extension of the companion contract with its technical consultant and manager, MACTEC and the State is incurring ongoing costs of \$97,000.00 per year, which as of February 1, 2011, total \$121,250.00, and Parsons asserts that the State's costs were incurred as a result of the State's own actions and needs, which would have been incurred in any case, including but not limited to overseeing the necessary programming changes incurred as a result of the Change in Law; and

WHEREAS, since the entry of Amendment One, and in addition to the change in law and equitable adjustment discussions, a number of other issues, claims, complaints, disputes, assessments and requests for contract change order have arisen between and/or been filed by the parties and are outstanding and unresolved as of this date and it is the parties intention to resolve all of these outstanding and/or pending issues, and it is the intention of the parties that this Amendment 2 shall serve as a complete and full resolution and settlement of the known presently outstanding disputes between the parties as of the date of execution;

NOW THEREFORE, be it resolved by and between the parties that Contract A71414 be and hereby now is amended in this Amendment No. 2 as follows:

A. Equitable Adjustment Due to Change in Law

1. Effective May 1, 2011, the per motor vehicle inspection fee for the remaining term of the contract shall be \$20.93. No change from the inspection fee established in Amendment 1 of \$21.60 shall be made for the inspections done from August 1, 2010 (effective date of the Change in Law) to April 30, 2011. The new fee of \$20.93, along with the other items in Section A of this Amendment 2 shall serve as the equitable adjustment negotiated by the parties pursuant to Section 5.17 of the Contract in light of the Change in Law.
2. The State will approve and pay within 60 days of the effective date of this Amendment 2, a Change Order 2011-GF-001 in the amount of \$124,998.75 for the changes to the software costs that were needed as a result of the Change in Law.
3. In order to allow Parsons to better streamline operations at the lower per vehicle inspection price in paragraph A(1),
 - a. Effective May 1, 2011, Parsons shall be permitted to close the CIFs at Bridgeton, Delanco and Westfield. Pursuant to the principles of Section 3.15 of the RFP, Parsons shall be responsible for public information related to the CIF closures.
 - b. Effective May 1, 2011, Parsons shall be permitted to reduce the hours in which inspections are offered according to Amendment 1, paragraph 3 by three hours. Accordingly, inspections will be offered during the following hours: 8:00 a.m. to 4:30 p.m. on Monday through Friday; and 7:00 a.m. to 12:00 p.m. on Saturday. Pursuant to

the principles of Section 3.15 of the RFP, Parsons shall be responsible for public information related to the change in inspection hours.

c. Section 3.3.3.3 of the Contract is deleted and the Contract is hereby amended to say:

The contractor shall manage the day-to-day operations of the CIFs and the conduct of all required inspection tests. For every two facilities the contractor must have at least one (1) designated manager on duty at all times such that each designated manager is managing two stations and shall appropriately divide his or her on-duty time between the two facilities. Each manager must be a licensed inspector pursuant to N.J.S.A. 39:8-1 et seq. and other applicable regulations.

d. The Performance Bond required by Section 7.4 of the Contract is amended as follows: "The performance bond that has been issued and in effect for the first three years of the Contract shall remain in effect until the contract anniversary date of May 5, 2011. Effective with the execution of this Amendment Two and, in the future, 30 days before the anniversary date of the Contract, Parsons will issue to the State a "Period of Performance Task Order" for the upcoming annual contract service period (i.e. 5/06/11 through 5/05/12, and for additional periods of one year or portions thereof until contract conclusion) for the State to approve. Upon approval, which will not be unreasonably withheld, Parsons and its sureties will issue a performance bond guaranteeing the Period of Performance Task Order for the annual contract value contained in the task order. This performance bond will have all the benefits of the original performance bond but will guarantee the performance of Parsons' obligations as stated in the 12 month term Period of Performance Task Order rather than the entire period. Upon execution of this Amendment Two, the State agrees to accept an endorsement to the existing performance bond, which modifies the term of that bond to May 6, 2008 to May 5, 2011."

4. As part of the equitable adjustment due to the Change in Law, and notwithstanding any other provision in the Contract, as of May 1, 2011:

a. Parsons shall not be required to place any additional sums into the non-lapsing account to provide for all maintenance, repairs and construction required by section 3.3.13 of the RFP (Capital Maintenance Account).

b. Effective at noon on May 1, 2011, Parsons shall be permitted to remove the unexpended balance from the Capital Maintenance Account and place it in their own account. Any and all approved jobs or expenditures pending in Facility Link as of noon, May 1, 2011, shall be the responsibility of Parsons. Parsons, by execution of this agreement certifies that it has entered projects into Facility Link database in the normal course of business and has not unnecessarily delayed the entry of any projects during March and April 2011; and

c. Unnumbered paragraphs 1, 2, 3, 4, 5 and 8 of Section 3.3.13, Capital Maintenance, Repairs, and Renovations at Existing CIFs, of the RFP shall be replaced with the following:

Parsons shall be responsible for notifying the State of and carrying out needed capital maintenance, repair, and renovation projects ("Projects"), at the CIFs. The notice shall include the cost of the Project and an estimated time to complete the Project. Parsons shall continue its use of the Facility Link database for providing such notice to the State. The State, upon receiving a notice of a needed Project, will review the notice and do one of the following:

- i. agree with the need for the Project and authorize Parsons in writing to undertake the project in which case the State shall be responsible for the cost of the Project as set forth below;
- ii. agree with the need for Project and determine to undertake the Project itself or through another contract;
- iii. agree with all or some portion of the need for the Project but modify the scope of the Project as set forth in the notice and either authorize Parsons in writing to undertake the modified Project in which case the State shall be responsible for the cost of the modified Project as set forth below, or determine to undertake the modified Project itself, or through another contract;
- iv. if the State does not find the Project necessary, the State will not authorize the Project and shall so notify Parsons and Parsons shall not undertake the project, even at its own expense, unless the State has specifically authorized the Project on that basis.
- v. if the State determines that the Project is the result of Parsons', its employees' or agents' failure to provide routine maintenance and upkeep, pursuant to Section 3.3.12 of the Contract, negligence, recklessness or intentional actions or inactions, the State shall so notify Parsons and authorize Parsons to complete the Project, and Parsons shall bear full responsibility for any such Project.

Parsons shall not undertake a Project until written authorization, if any, is received pursuant to this paragraph. Any Project that the State does authorize shall be completed in a timely manner.

In the event that the State determines to undertake a Project itself or through another contract, the State shall notify Parsons of that determination and Parsons shall fully cooperate with the State and its contractors to facilitate timely completion of the Project.

At the completion of a Project that the State authorized Parsons to undertake and the State is responsible to pay for under this paragraph, Parsons shall submit an invoice of all actual costs incurred plus an administrative fee of seven and one-half percent (7.5%). Upon approval of the invoice, the State shall pay Parsons consistent with the contract terms, including the New Jersey Prompt Payment Act.

All existing facilities are and shall remain the property of the State inclusive of any and all Projects, repairs, replacements, alterations, and modifications made to them during the term of the contract.

Projects shall not include any costs associated with the routine maintenance and upkeep of the facilities, pursuant to Section 3.3.12 of the Contract, the maintenance of the test equipment or the maintenance of the data network which are Parsons' responsibility under other provisions of the Contract.

5. Effective May 1, 2011, liquidated damages for Excessive Daily Average Wait Time and Excessive Monthly Average Wait Time, as established by Section 5.13.2.2 of the Contract and amended by Amendment No. 1 shall be further amended as follows:

a. The daily average wait time standard of "thirty (30) minutes (average wait measured in any two contiguous hours, beginning upon the opening of the station and hourly thereafter) each day per facility in any calendar month" and the monthly average wait time standard of "fifteen (15) minutes (monthly average wait each day per facility in any calendar month)," as set forth in section 3.3.6 of the RFP shall remain in full force and effect. Parsons shall plan to and shall make good faith efforts to meet those standards.

b. Paragraph 1(b) of Amendment No. 1 is amended to provide: The State may assess liquidated damages for each facility for the fifth day and each subsequent day in a calendar month on which the average wait time exceeds 45 minutes as follows:

i. Any time, at any facility where the average wait time exceeds 30 minutes for two contiguous hours, the State may issue a warning to Parsons. If the State does not issue such a warning, it shall not prevent the imposition of liquidated damages as set forth below.

ii. The State will determine if there are two contiguous hours where the average wait time for each hour exceeds 45 minutes. If this condition exists, a charge of \$2,500.00 will be assessed at that facility as a one-time daily charge.

iii. If the condition in A(5)(b)(2) exists, the State will add up all the average wait times for the day and divide by the number of facility hours. For purposes of this calculation, hours before opening or after closing time are not included, and only scheduled hours of operation will be considered in the calculation. If the result of this calculation exceeds 45 minutes by one or more increments of up to 10 minutes, an additional \$2,500.00 will be assessed for each such increment.

Example of calculation for one facility:

Hour										
From	8:01	9:01	10:01	11:01	12:01	1:01	2:01	3:01	4:01	
To	9:00	10:00	11:00	12:00	1:00	2:00	3:00	4:00	5:00	
Hourly Average Wait Time	10	30	50	60	63	70	75	70	70	498
Daily Average Wait										55.3333

Tablet PC, Barcode Scanner, Printer, Smokemeter) in the Contract and price line 32 is hereby removed from the Contract.

C. Miscellaneous Items

1. The State shall pay Parsons \$133,500.00 within sixty (60) days of the execution of this Amendment 2, for
 - a. the liquidated damages associated with the early opening of the wait gates at the Eatontown, Flemington, Lodi and Wayne CIFs (\$109,500.00), and all claims related to this issue are withdrawn pursuant to Paragraph 11 of this Amendment 2; and
 - b. the liquidated damages at the Bakers Basin CIF associated with the period of testing of new equipment and systems (\$24,000.00) and all claims related to this issue are withdrawn pursuant to Paragraph 11 of this Amendment 2.
2. Effective upon the execution of this Amendment 2, no liquidated damages will be assessed for wait times at Bakers Basin CIF during any period of approved hardware or software testing pursuant to Section 3.3.5 of the Contract. Parsons shall be responsible to notify the contract manager of the precise time and date of all such periods of testing for the contract manager's preapproval.
3. Parsons shall not build any additional structures to serve as "re-inspection shelters" or for any other purpose without first seeking the State Contract Manager's approval. The State will not reimburse Parsons for any costs of building the "re-inspection shelters." Any "re-inspection shelters" used by Parsons for any part of the remainder of the contract shall be maintained and repaired by Parsons at its sole expense. Parsons shall bear all liability in anyway associated with the "reinspection shelters." Parsons shall be permitted to conclude the construction on any uncompleted shelter in Parsons' discretion at its sole cost. See attached list of constructed shelters and those that are near completion at Exhibit A. All claims related to this issue are withdrawn pursuant to Paragraph 11 of this Amendment 2.
4. The State shall not pay anything toward the costs of snow removal or landscaping at any of the CIFs and all of Parsons' requests related to the costs of snow removal or landscaping at the CIFs are withdrawn pursuant to Paragraph 11 of this Amendment 2.
5. The State will make commercially reasonable efforts to notify members of the public who are present for other than motor vehicle inspections that they should not use the waiting area or the rest rooms for the Salem inspection facility and Parsons shall not renew its request and all request for changes related to this issue are withdrawn pursuant to Paragraph 11 of this Amendment 2.
6. As of May 1, 2011, the State will pay for the Randolph office trailer rental fee and all claims and requests for change related to this issue are withdrawn pursuant to Paragraph 11 of this Amendment 2.

7. The State will accept Parsons' Change Order request regarding pricing for line 14 and will pay Parsons' invoice dated November 10, 2010 within sixty (60) days of the execution of this Amendment Two. The revised pricing for Line 14 is as follows:

<u>Line No.</u>	<u>Description</u>	<u>Qty</u>	<u>Unit</u>	<u>Original Unit Price</u>	<u>New Unit Price</u>
Line 00014	Install OBD-Only Emissions Equipment	1	EA	\$ 573.00	\$ 5,300.00

9. The State shall not pay monthly maintenance charges for State-owned and -operated equipment until related deferred software have been delivered, installed and approved by the State.

10. Except as expressly modified by this Amendment No. 2, all provisions of State Contract No. A71414, including Amendment No. 1, remain in full force and effect. In the event of a conflict between any Contract or Amendment No. 1 provision and the terms of this Amendment No. 2, the terms of this Amendment No. 2 shall control.

11. Execution of this Amendment No. 2 by Parsons and the State shall act as an automatic rescission and waiver of (i) all claims, notices of claim, appeals and requests for change orders submitted by Parsons to the State on or before April 1, 2011, which have been set forth in the WHEREAS paragraphs of this Amendment No. 2, including but not limited to all claims related to liquidated damages, application of the *force majeure* clause, delay claims and the equitable adjustment; and (ii) all claims, disputes and issues set forth in the March 1, 2010 complaint filed with the CCAU by the State, all responses to the complaint, including but not limited to Parsons' April 12, 2010 response and the State's May 7, 2010 reply, and the February 14, 2011 supplemental complaint filed with CCAU by the State, all of which are withdrawn and dismissed. Neither party is presently aware of any other assessment, claim or issue that has not been asserted to date.

12. Unless set forth herein, amounts outstanding in the normal course of the Contract, including but not limited to Change Order Nos. 1048-TSI-1 and 1102-PIF-1, and Invoice Nos. 11020571, 10090727, 10090739, 10110329, 10110330, and 10110332, are not otherwise waived as a result of this Amendment 2 and they will be handled in due course pursuant to the Contract. No rights reposed in the State by contract, statute or other legal authority as to audit or other oversight of this Contract are waived by this Amendment 2.

13. This Amendment No. 2 is entered into by the parties with the advice and consultation of counsel and will not be construed against either party as the drafter thereof.

14. This Amendment No. 2 may be executed in two or more counterparts, each of which will constitute an original, but all of which will constitute one and the same agreement.

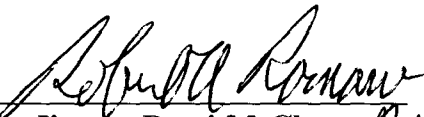
15. Each party represents for itself that the individual executing this Amendment No. 2 on behalf of such party has full power and authority to do so on behalf of such party.

IN WITNESS WHEREOF, the State and Parsons have executed this Amendment No. 2 to Contract No. A71414, effective the day and year first written above.

The State of New Jersey

**Department of the Treasury
Division of Purchase and Property**

**Parsons Commercial
Technology Group, Inc.**

By: 
Name: ~~Jignasa Desai-McCleary~~ ROBERTA A. ROMAN
Title: ~~Acting Director, New Jersey~~
Date: 3-31-11

By: _____
Name: James E. Sands, Jr.
Title: Vice President
Date: _____

DEPUTY STATE
TREASURER

New Jersey Motor Vehicle Commission

By: _____
Name: Raymond P. Martinez
Title: Chief Administrator
Date: _____

New Jersey Department of Environmental Protection

By: _____
Name: Bob Martin
Title: Commissioner

Approved as to form:
Paula T. Dow
Attorney General of New Jersey

By: _____
Name: Beth Leigh Mitchell
Title: Assistant Attorney General
Date: _____

IN WITNESS WHEREOF, the State and Parsons have executed this Amendment No. 2 to Contract No. A71414, effective the day and year first written above.

The State of New Jersey

**Department of the Treasury
Division of Purchase and Property**

**Parsons Commercial
Technology Group, Inc.**

By: _____
Name: **Jignasa Desai-McCleary**
Title: **Acting Director, New Jersey**
Date:

By: _____
Name: **James E. Sands, Jr.**
Title: **Vice President**
Date:

New Jersey Motor Vehicle Commission

By: 
Name: **Raymond P. Martinez**
Title: **Chief Administrator**
Date: **3/31/11**

New Jersey Department of Environmental Protection

By: _____
Name: **Bob Martin**
Title: **Commissioner**

Approved as to form:
Paula T. Dow
Attorney General of New Jersey

By: _____
Name: **Beth Leigh Mitchell**
Title: **Assistant Attorney General**
Date:

IN WITNESS WHEREOF, the State and Parsons have executed this Amendment No. 2 to Contract No. A71414, effective the day and year first written above.

The State of New Jersey

**Department of the Treasury
Division of Purchase and Property**

**Parsons Commercial
Technology Group, Inc.**

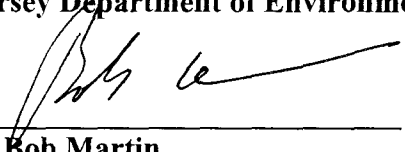
By: _____
Name: **Jignasa Desai-McCleary**
Title: **Acting Director, New Jersey**
Date:

By: _____
Name: **James E. Sands, Jr.**
Title: **Vice President**
Date:

New Jersey Motor Vehicle Commission

By: _____
Name: **Raymond P. Martinez**
Title: **Chief Administrator**
Date:

New Jersey Department of Environmental Protection

By:  _____
Name: **Bob Martin**
Title: **Commissioner**

Approved as to form:
Paula T. Dow
Attorney General of New Jersey

By: _____
Name: **Beth Leigh Mitchell**
Title: **Assistant Attorney General**
Date:

IN WITNESS WHEREOF, the State and Parsons have executed this Amendment No. 2 to Contract No. A71414, effective the day and year first written above.

The State of New Jersey

**Department of the Treasury
Division of Purchase and Property**

**Parsons Commercial
Technology Group, Inc.**

By: _____
Name: Jignasa Desai-McCleary
Title: Acting Director, New Jersey
Date:

By: _____
Name: James E. Sands, Jr.
Title: Vice President
Date:

New Jersey Motor Vehicle Commission

By: _____
Name: Raymond P. Martinez
Title: Chief Administrator
Date:

New Jersey Department of Environmental Protection

By: _____
Name: Bob Martin
Title: Commissioner

Approved as to form:
Paula T. Dow
Attorney General of New Jersey

By: 
Name: Beth Leigh Mitchell
Title: Assistant Attorney General
Date: 3/31/2011

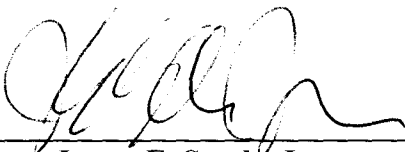
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The State of New Jersey

**Department of the Treasury
Division of Purchase and Property**

By: _____
Name: Jignasa Desai-McCleary
Title: Acting Director, New Jersey
Date:

**Parsons Commercial
Technology Group, Inc.**

By:  _____
Name: James E. Sands, Jr.
Title: Vice President
Date: 02/20/2011

New Jersey Motor Vehicle Commission

By: _____
Name: Raymond P. Martinez
Title: Chief Administrator
Date:

New Jersey Department of Environmental Protection

By: _____
Name: Bob Martin
Title: Commissioner

Approved as to form:
Paula T. Dow
Attorney General of New Jersey

By: _____
Name: Beth Leigh Mitchell
Title: Assistant Attorney General
Date: